



PhonePe

Transaction Analytics Dashboard

Year 2024 / 300,000 Transactions / 6 Cities / 4 Products / 3 Payment Methods

₹2.45Cr

Total Volume

81.1%

Success Rate

14.1%

Failure Rate

8,161

Average Value

Why This Analysis?

The Business Problem

PhonePe processed 300,000 transactions in 2024 with a 14.1% failure rate - meaning 42,231 transactions failed. This translates to lost revenue, frustrated users, and untapped volume. Every 1% improvement in success rate could recover in transaction value.



14.1% Failure Rate

42,231 failed transactions
across all products & channels



No Growth in 2024

Flat 25K transection per month - a fintech
platform should be scaling up



City-Level Gaps

Hyderabad (14.3%) vs Pune (13.8%)
shows inconsistent reliability

Metric Tree



BUSINESS GOAL: Reduce Failure Rate & Recover volume



PRIMARY METRIC: Transaction Success Rate (81.1%)



FAILURE RATE

14.1%



PENDING RATE

4.8%



AVG TXN VALUE

₹8,161

· Product Type

· Payment Method

· City / Region

· Failure Reason

· Transaction
Volume

Key Numbers

300,000

Total Transactions

Jan - Dec 2024

₹245Cr

Total Value

Total Value

81.1%

Success Rate

243,352 successful txns

14.1%

Failure Rate

42,231 failed transactions

4.8%

Pending Rate

14,417 pending txns

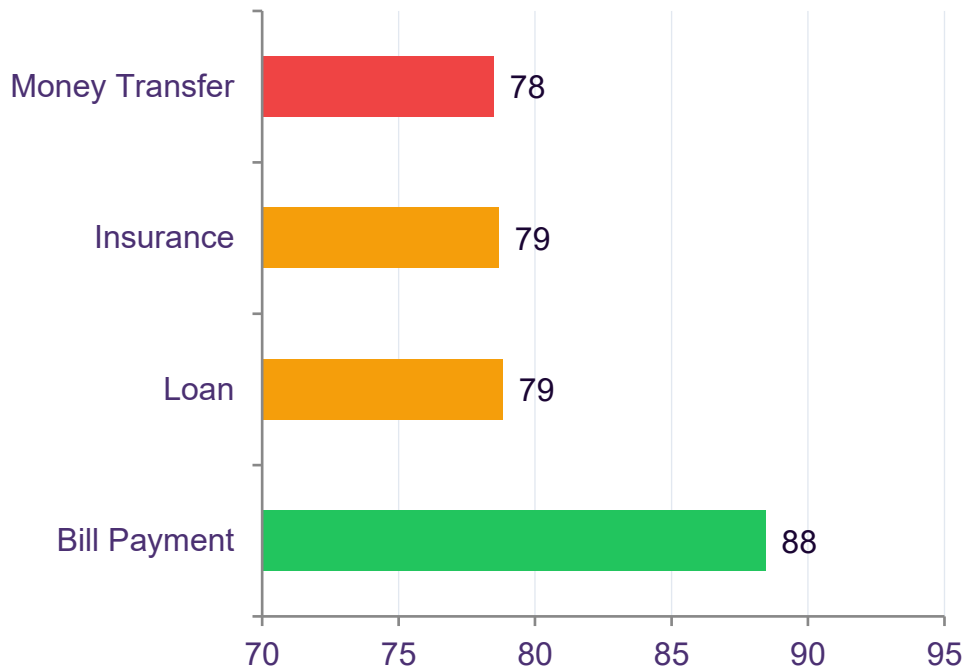
₹8,161

Avg Transaction Value

Per transaction

Finding 1 - Product Type Performance

Success Rate by Product (%)



Bill Payment Leads

88.44% success rate - nearly 10% better than all other products. Its simpler UX and instant confirmation flow set the benchmark.



Money Transfer Lags

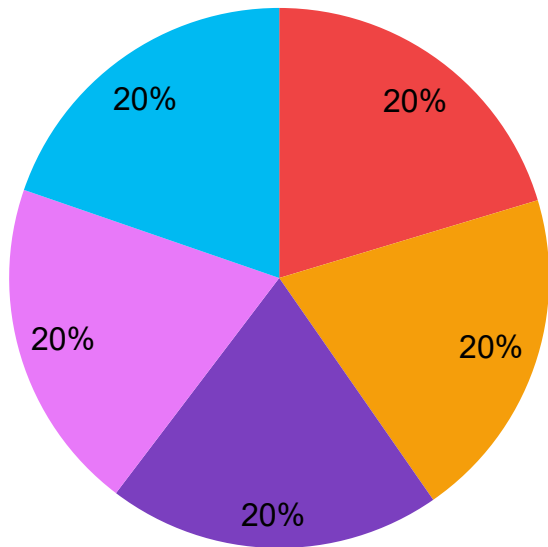
Only 78.5% success - yet it drives 91.7% of total Volume (avg ₹25,108 per txn). Even 1% improvement = ₹187M recovered.



Action: Apply Bill Payment's UX design patterns (balance check, pre-auth, instant confirmation) to Money Transfer, Insurance & Loan flows.

Finding 2 - Why Do Transactions Fail?

Failure Reason Distribution



■ Insufficient Balance ■ Time Out ■ Network Down
■ Bank Denied ■ Wrong PIN



All 5 Failure Reasons are Nearly Equal (~20% each)

Insufficient Balance

User-side

20.4%

8,596 txns

Time Out

System-side

20.0%

8,442 txns

Network Down

Infra-side

20.0%

8,440 txns

Bank Denied

Partner-side

20.0%

8,429 txns

Wrong PIN

User-side

19.7%

8,324 txns

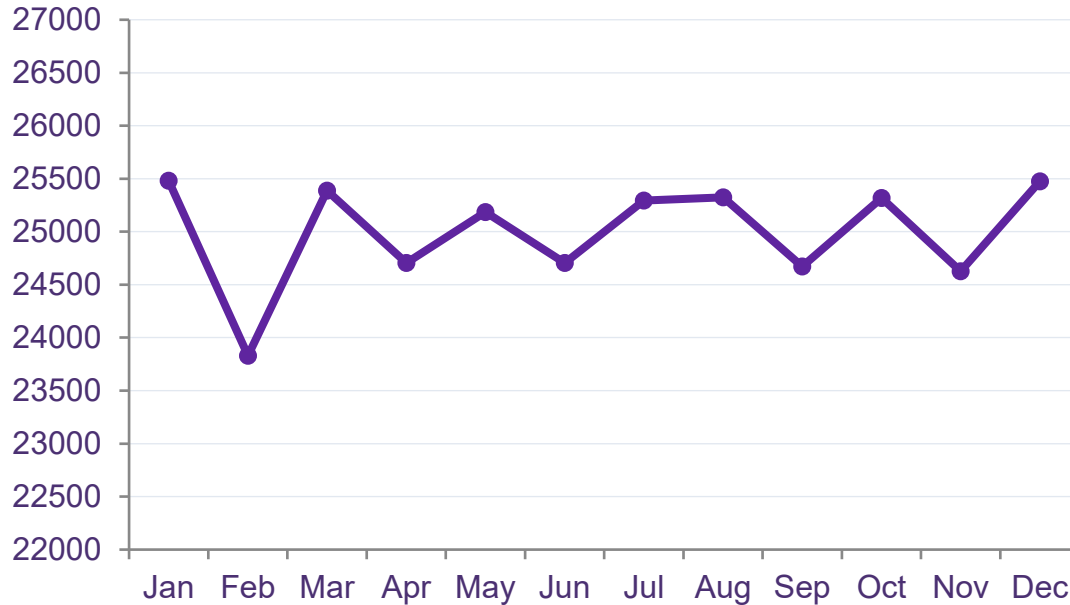
Finding 3 - City-wise Performance

City	Transactions	Total Amount	Avg Amount	Success %	Failure %	Status
Pune	50,106	₹41.3Cr	₹8,250	81.59%	13.76%	 Best
Delhi	50,192	₹40.7Cr	₹8,115	81.18%	13.99%	Good
Mumbai	50,191	₹40.4Cr	₹8,060	81.13%	14.04%	Good
Chennai	49,730	₹40.4Cr	₹8,125	81.08%	14.07%	Average
Bangalore	49,644	₹41.1Cr	₹8,296	80.96%	14.25%	Review
Hyderabad	50,137	₹40.7Cr	₹8,120	80.76%	14.34%	 Worst

 Pune leads with 81.59% success rate while Hyderabad lags at 80.76%. The 0.58% gap may indicate regional network/banking partnership issues in Hyderabad. Study Pune's infrastructure model to replicate across lagging cities.

Finding 4 - Transaction Volume Trend (No Growth!)

Monthly Transaction Count — Jan to Dec 2024



No Growth Signal

Volume Trend between 23,830 and 25,480. A healthy fintech should show clear upward trend.



Feb Dip Notable

February had the lowest volume (23,830). Could be seasonal. Worth monitoring year-over-year.



Urgently launch user acquisition campaigns & explore new city expansion.

Hypothesis Results

H1	Money Transfer drives > Other Products MT avg ₹25,108 vs ₹2,525 for others - 10x higher.	 CONFIRMED
H2	Failure rate is constant across months (no seasonality) Monthly failure steady at 13.7-14.4%. Problem is structural, not seasonal.	 CONFIRMED
H3	Bill Payment is more reliable than other products 88.4% vs 78-79% for others. Bill Pay's simpler UX drives the gap.	 CONFIRMED
H4	Payment method significantly affects success rate All methods ~81.1%. Failure cause is upstream - not the payment channel.	 REJECTED
H5	Certain cities have higher failure rates Hyderabad 14.3% vs Pune 13.8% - small but meaningful gap worth monitoring.	 PARTIAL
H9	Transaction volumes show no growth trend in 2024 23,830-25,480 range with no uptrend. User acquisition strategy urgently needed.	 CONFIRMED

Top 4 Recommendations

1

Fix Money Transfer Reliability

MT drives highest Volume but has a 15% failure rate. Improving it to 85% recover. Apply Bill Payment's pre-auth balance checks, smarter retry logic & partner bank SLAs.

2

Address All 5 Failure Reasons Systematically

No single reason dominates - Insufficient Balance, Timeout, Network Down, Bank Denied & Wrong PIN each ~20%. Add widgets in-app balance nudges, network fallback routing, and better PIN error recovery flows.

3

Audit Hyderabad & Bangalore Operations

Hyderabad (14.3% failure) and Bangalore (14.25%) underperform vs Pune (13.76%). Investigate local bank partnership SLAs and network infrastructure. Study Pune's model.

4

Launch User Acquisition & Volume Growth Strategy

Zero growth in 2024 is a red flag for a fintech platform. Explore new city expansion, referral programs & cashback campaigns to restore organic growth momentum.

Thank You!

PhonePe Transaction Analytics Dashboard / Year 2024
